SCHEDULE AFP

ARMED FORCES PILOT T

APPLICABILITY

The Armed Forces Pilot (AFP) is a Day-Of Auto Demand Response pilot that offers incentives to all branches of the Armed Forces in SDG&E's service territory for reducing energy consumption and demand during a specific AFP Demand Response Event described in the Special Conditions (SC) below. Direct Access customers must have their Energy Service Provider (ESP) grant SDG&E permission to bid their energy use into the CAISO market in order to participate in the pilot.

TERRITORY

Within the entire territory served by the Utility.

RATES

1. Load Reduction Capacity Incentive, Day-Of Pilot Option ($/kW-month):

   The AFP Capacity Incentive Payment is calculated as defined in SC 17. The Utility will make AFP Incentive Payments only for those hours of Accepted Demand Reduction, as set forth in SC 17.

Product	May	Jun	Jul	Aug	Sep	Oct
4 hour	$2.33	$6.28	$13.64	$16.86	$11.13	$3.36

SPECIAL CONDITIONS

1. Definitions: The definitions of terms used in this schedule are found either herein or in Rule 1, Definitions.

2. Pilot Operation:

   a. The Pilot's operational season is May 1st through October 31st.

   b. A maximum of 6 events can be called per month. AFP Demand Response Events can be triggered on any day of the pilot operational season.

   c. The Pilot's operational days are Monday through Friday during the Pilot's operational season, excluding Utility holidays, as defined in SC 2.a. above.

   d. The Pilot's operational hours are from 1:00PM to 6:00PM during each of the Pilot's operational days. Events are not to exceed 4 hours in duration on any given event day.

   e. Each operational month of the Pilot begins and ends at the beginning and ending of such calendar month.

   f. Capacity Bid: A Capacity Bid is the amount of MW per hour (MWh usage) that a customer commits to reduce for each hour of a month.

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SCHEDULE AFP

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SPECIAL CONDITIONS (Continued)

2. Pilot Operation: (Continued)

   g. For each hour between 1pm and 6 pm the customer must submit their bid for a minimum demand reduction of 2.0 MW.

   h. Customers must complete an Enrollment Application with the Utility and must provide all required information to participate in the pilot. Enrollment Applications are deemed accepted when all required information has been provided by the customer and validated by the Utility.

3. Account Submission: Customers must submit all participating accounts, meters and projected load per meter by the 15th of the prior operational month during the Pilot's cycle to SDG&E.

4. Qualifying Customer: This Schedule is applicable, in combination with a customer's otherwise applicable tariff(s), on a voluntary basis, to customers who are considered an Armed Forces branch of the federal or state government, including those that are Direct Access and Community Choice Aggregation customers, who are capable of providing at least 2.0 MW of load reduction based on the customer's specific baseline.

   a. At the time of enrollment a customer may elect any number of Auto Demand Response (ADR) enabled, billable meters to choose from for the purposes of qualification and settlement, but for an event the customer will identify the qualifying meters for purposes of bidding.

   b. Once a customer's Capacity Bid has been accepted, the accepted bid shall not subsequently be rejected by the Utility, but payment shall continue to be based on the customer's actual performance, as measured by the Actual Demand Reduction.

   c. SDG&E retains sole discretion to determine the appropriate baseline values and methodology/calculations used to verify the actual dispatchable load reduction enabled by the installed qualifying ADR technology.

   d.

Day-Of Product	Minimum Duration per Event	Maximum Duration per Event	Maximum Cumulative Event Duration Per Operational Month	Maximum Events Per Day
4 Hour	4 hours	4 hours	24 hours in May 24 hours in June 24 hours in July 24 hours in August 24 hours in September 24 hours in October	1

(Continued)

SCHEDULE AFP

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SPECIAL CONDITIONS (Continued)

5. Billable Meter: A billable meter represents the meter data used for the purpose of calculating a customer's UDC rate charges. In the event that a customer's meter data is combined for the purpose of calculating UDC charges a billable meter number represents the combined meter data.

6. Interruptible Period: Each interruptible period ("Event") shall be the period of time during which the Utility has informed the Participant to curtail energy consumption by use of a communications process utilizing equipment described in AFP Demand Response Events and Pilot Triggers Special Condition 7.

7. AFP Demand Response Events and Pilot Triggers: An AFP Demand Response Event may be triggered when the heat rate is greater than or equal to 19,000 btu/kWh. Whenever the California Independent System Operator has issued an alert or warning notice, the California Independent System Operator shall be entitled to request that the utility, at its discretion, call a pilot event pursuant to this Schedule. AFP Demand Response Events may also be triggered as warranted by extreme system conditions, local emergencies, or local transmission and distribution needs.

8. Customer Specific Baseline:

   a. Customer Specific Baseline Weekdays: For customers enrolled in the pilot, the preliminary baseline for any given operational hour is defined as the consumption for that hour for the average of the ten (10) similar days immediately preceding the AFP Demand Response Event excluding weekends, holidays, days when a customer reduced load, in response to an AFP Demand Response Event and days in which the customer experienced a rotating outage.

      The adjusted baseline will be calculated by multiplying the preliminary baseline by a day-of adjustment factor. The day-of Adjustment factor will be calculated by dividing the average load using a two hour adjustment window commencing at least 4 hours prior to the event by the average load for the same hours of the preliminary baseline. This day-of Adjustment factor shall not exceed 1.40 and shall be no less than 0.6.

      The customer specific baseline will be equal to the adjusted baseline unless the customer requests that the preliminary baseline be used instead at the time bid is submitted.

   b. Billable Meters Aggregation: If a customer chooses to aggregate billable meters for the purposes of qualification and settlement then a customer specific baseline will be calculated for each billable meter.

9. Actual Demand Reduction: The Actual Demand Reduction for any given operational hour equals the difference between the Customer Specific Baseline and the recorded hourly MW consumption (MWh) during an AFP Demand Response Event hour. If a customer chooses to aggregate billable meters for the purposes of qualification and settlement the actual demand reduction will be equal to the sum of the actual demand reductions from the billable meters.

   If the use of sub metering in accordance with SC 20 is accepted by the utility then the actual demand reduction for any given operation hour will be equal to 85% of the difference between the Customer Specific Baseline and the recorded hourly MW consumption (MWh) during an AFP event hour.

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SCHEDULE AFP

ARMED FORCES PILOT

SPECIAL CONDITIONS (Continued)

10. Event Communications: The Utility will notify customer of an AFP Demand Response Event no later than 180 (One Hundred Eighty) minutes prior to event execution. Notification will be via email. Customer will be responsible to send an ADR signal to customer devices behind the customer firewall.

    a. Notification Equipment: A customer requesting to receive AFP Demand Response Event notifications using email must, at its own expense, have access to the internet and shall be responsible for providing the Utility with a valid and accurate e-mail address.

11. Event Cancellation: SDG&E may terminate an event in the case where the Utility or CAISO cancels its' Alert or Warning or more advanced CAISO Notice (Stage 2 or 3 Emergency) or in the event of extreme conditions.

12. Multiple Program Participation: Since this is a capacity payment program similar to SDG&E's Capacity Bidding Program, the rules for Capacity Bidding dual participation found in SDG&E's Rule 41 will apply to this Pilot.

13. Termination of Schedule: This Schedule is in effect until modified or terminated through the Utility's Demand Response s portfolio application or similar proceeding.

14. Failure to Reduce Energy: Financial penalties will be assessed under this Schedule for a customer's failure to comply or participate during an AFP Demand Response Event per SC 17.a.ii.

15. Dispute Resolution: Any dispute arising from the provision of service under this schedule or other aspects of the Armed Forces Pilot will be handled as provided for in the Utility's Rule 10, Disputes.

16. Capacity / Incentive Payment and Non-Performance Penalties: Payments of Incentives will be made only after all Pilot requirements are met by the customer to SDG&E's sole satisfaction. The Utility will provide the Incentive Payment as an annual Check no later than December 31st of the pilot year. D,T

    a. Load Reduction Incentive Payment:

        i. If the Utility does not call an AFP Demand Response Event during an operational month, the amount of the Load Reduction Incentive Payment for such operational month is calculated by summing, for each Product nominated in such operational month, the product of the Nominated Load Reduction for such nominated Product and the Load Reduction Incentive Payment rate as set forth in the table above for such nominated Product.

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SCHEDULE AFP

ARMED FORCES PILOT

SPECIAL CONDITIONS (Continued)

16. Capacity / Incentive Payment and Non-Performance Penalties: (Continued) T

a. Load Reduction Incentive Payment: (Continued)

ii. If the Utility calls one or more AFP Demand Response Events during an operational month, the amount of the Load Reduction Incentive Payment for such operational month is calculated by summing the Adjusted Event Capacity Payment Amounts for each Product nominated in such operational month, which is calculated as follows: The "Unadjusted Hourly Event Capacity Payment Amount" for each Product nominated in such operational month is equal to the product of the Nominated Load Reduction for such nominated Product and the Load Reduction Incentive Payment rate as set forth in the table below for such nominated Product, divided by the number of Event hours called during such operational month, and the "Adjusted Event Capacity Payment Amount" for each such Product nominated in such operational month is calculated based on the Actual Load Reduction for such Product in such operational month:

Actual Load Reduction for such Product	**Adjusted Event Capacity Payment Amount for such Product**
More than 100 percent of Nominated Load Reduction for such Product	Payment equal to 100 percent of Unadjusted Event Capacity Payment Amount for such Product
75 – 100 percent of Nominated Load Reduction for such Product	Payment calculated by prorating between 75 and 100 percent of Unadjusted Event Capacity Payment Amount for such Product
25 – 74.99 percent of Nominated Load Reduction for such Product	Zero (0)
Less than 25 percent of Nominated Load Reduction for such Product	Penalty equal to (.25 minus Actual Reduction divided by Nominated Load reduction) multiplied by the Unadjusted Event Capacity Payment Amount.

iii. If the Load Reduction Incentive Payment amount as calculated above yields an amount less than zero (i.e. a penalty amount), then such penalty amount shall be payable by Customer to the Utility in accordance with the Disbursement of Payments SC 18.

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SCHEDULE AFP

ARMED FORCES PILOT

SPECIAL CONDITIONS (Continued)

17. Disbursement of Payments Customers: For customers participating directly with the Utility, the AFP incentive will be calculated based on the customer's Actual Load Reduction. In no case will a customer receive a credit payment for a given hour if it does not meet the minimum energy reduction threshold, as nominated in the monthly Load Reduction Nomination. Any Incentive Payments, as well as all other amounts, charges, penalties and fees due and payable in respect of this Pilot, to or from customers participating in the Pilot will be paid by the Utility within 60 days after the end of the event operating season. T

    a. Failure to Pay: In the event a participating customer fails to pay any amounts to the Utility as and when due, the rules governing such failure to pay, and the Utility's and such customer's rights and obligations therewith, as set forth in the Utility's tariff will apply.

18. Metering Requirement: The customer's electric meter must be an interval data recorder or smart meter with communications capability, compatible with the Utility's meter reading and communications systems and/or from alternative metering and telecommunications acceptable to the Utility. If alternative metering and telecommunications are accepted by the utility are the capacity incentive will be reduced by 15%. T

19. Use of Sub-metering: The SDG&E meter data for the accounts listed in SC 4.a, above may also include energy use from facilities that are not participating in the Schedule AFP. In order to more accurately estimate the load reduction from the participating facilities SDG&E will allow the customer to submit meter data from customer-owned meters for the purposes of distinguishing the energy use of participating and non-participating facilities. T

    Within 30 days of an AFP event the customer may submit the customer's interval meter data for non-participating facilities to SDG&E. Meter data for the event day as well as for the previous 30 days should be included. Along with the interval data the customer will also submit a list of which customer meters are associated with which SDG&E meters.

    The meter data will be reviewed by SDG&E. If the data is accepted by SDG&E the data will be used in the calculation of the AFP incentive. Customers enrolled in the Pilot may, at their discretion, submit data from a test event for SDG&E to evaluate the quality of sub-meter data prior to an actual demand response event in the Pilot. In accordance with the alternative metering option in SC 19, The capacity incentive will be reduced by 15% if data from customer owned meters is used. If the customer does not submit data or the metering data is rejected by SDG&E then the AFP incentive will be calculated using the SDG&E meter data associated with the accounts listed in SC 4.a.

20. Use of Prohibited Resources: Any Customer that has a Prohibited Resource, as defined in the Applicability section of this Schedule, shall ensure that such Prohibited Resource is not used to reduce load during a Demand Response event. T

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SCHEDULE AFP

ARMED FORCES PILOT PROGRAM

SPECIAL CONDITIONS (Continued)

20. Use of Prohibited Resources: (Continued) T

a. Customers are required to submit attestations in order to participate in this program. New or existing customers who do not agree to the prohibition and do not submit an attestation cannot participate in CBP, BIP or AFP. Attestations are subject to verification and may require data requests and premise access to verify. SDG&E will collect attestations and store attestations. Customers attest to one of the following conditions:

i. Customer does not have a Prohibited Resource on-site.

ii. Customer does have a Prohibited Resource on-site and will not use the resource to reduce load during any demand response event.

iii. Customer does have a Prohibited Resource on-site and may have to run the resource(s) during Demand Response events for safety, health, or operational reasons. These Customers must provide the Default Adjustment Value (DAV) which is the nameplate capacity value of the Customer's Prohibited Resource for the same service account, then the DAV will be the sum of the nameplate capacity value from all Prohibited Resources electing to be used to reduce load during a Demand Response event on the same site. Customer's capacity and energy payment will be reduced by the DAV.

b. Sign Form 142-05220 to complete the Customer Attestation of Prohibited Resources.

c. A Customer may update its attestation at any time (including when they switch from a prohibited, fossil fuel-based resource to a renewable fuel-based resource and vice-versa). It is contingent upon customers providing documentation that confirms the operational change and renewable certification from the California Air Resources Board for the Customer's service account with any of the following changes, if the change is verified and approved by verification administrator or SDG&E:

i. Add or remove an onsite Prohibited Resource.

ii. Change the status of the use of Prohibited Resource(s) to reduce load during any Demand Response event.

iii. Change the Default Adjustment Value (DAV) due to a documented change in the operational status of a Prohibited Resource associated with the Customer's service account.

d. Proportional cost burdens for the Verification Administrator and the implementation of the verification plan may be shared by the customers on this Schedule.

21. Prohibited Resource Compliance: Customer compliance will be subject to verification. T

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SCHEDULE AFP

ARMED FORCES PILOT PROGRAM

SPECIAL CONDITIONS (Continued)

21. Prohibited Resource Compliance: (Continued) T

TABLE 1: Violations and Non-Compliance

	Type 1 Violation:	**Type II Violation:**
Description	Minor clerical or administrative errors that may be resolved with an updated attestation and *do not involve the use of a prohibited resource to reduce load during a DR event.*	1. Using prohibited resource(s) to reduce load during a DR event despite attesting to not doing so, and/or 2. Submitting an invalid nameplate capacity for a prohibited resource(s) under Attestation Scenario 3.
Scenario(s)	1. Existing customer attests to not having a prohibited resource on site, but in fact has a resource on site. However, customer did not use the resource to reduce load during a DR event. 2. Customer reports a higher-than-actual nameplate capacity.	1. Customer attests to not using a prohibited resource on site. However, customer used the resource to reduce load during a DR event. 2. Customer reports a lower-than-actual nameplate capacity.
Resulting Actions	Existing customer has 60 days from date of notice to cure non-compliance. If an attestation is not submitted within 60 days (uncured non-compliance), the customer will be removed from the Utilitiy's tariff schedule and /or the aggregator's portfolio until an attestation is provided.	A single instance of non-compliance will result in customer removal from the schedule and ineligibility to enroll in any DR program for 12 calendar months for the removal date. Two or more instances will result in the same removal and ineligibility terms for three years.
Refusal to Accept Prohibition as Term of Participating in Utility or Third-Party Aggregator DR Program		
Description	Customer does not agree with prohibition requirement as term of program participation.	
Result	Customer is not eligible to participate in the affected DR program until such time customer agrees with prohibition and submits an attestation.	

22. Third Party Audit T

All participants on this Schedule must provide facility access for site visit and comply with all third-party audit data requests associated with the attestation of Prohibited Resources within 20 working days after notice.

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SCHEDULE AFP

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ARMED FORCES PILOT PROGRAM

SCHEDULE 1

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AFP BID Template:

PILOT:
Customer Armed Forces
Event Date:

	Account #	Meter #	Event Month	HE14	HE15	HE16	HE17	HE18
1								
2								
3								
4								
5								
6								
7								
8								
9								
10								
11								
12								
			Total Bid:	0	0	0	0	0

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